

# INDIAN ECONOMY

LEVEL  
II



भारतीय स्टेट बैंक  
State Bank of India  
हर भारतीय का बैंक  
THE BANKER TO EVERY INDIAN



बैंक ऑफ बड़ौदा  
Bank of Baroda



Punjab  
National  
Bank



**LANCO**

**ESSAR**  
STEEL

**Bhushan**  
POWER & STEEL

## LECTURES

- CONCEPT OF A BAD BANK
- NARCL – IDRCL MECHANISM
- INSOLVENCY & BANKRUPTCY CODE

## MODULE - 30







***NARCL – IDRCL mechanism was unveiled by the Government to act as a bad bank to take over major loans from public sector banks.***

## WHAT DO YOU UNDERSTAND BY THE CONCEPT OF A BAD BANK?

- It is a financial entity setup to buy Non-Performing Assets (NPAs) or bad loans from the banks.
- The aim is to help ease the burden on banks by taking bad loans off their balance sheets.
- It facilitates them to concentrate on lending again to the customers without constraints.
- After the purchase of a bad loan from a bank, the bad bank may later try to restructure and sell the NPA to investors, who might be interested in purchasing.



# WHAT IS THE NEED FOR NARCL AND IDRCL?

- There are several resolution mechanisms including Insolvency and Bankruptcy Code, Sarfaesi Act, Debt Recovery Tribunals etc. which have proved to be useful to certain extent. However, a large stock of legacy NPAs are to be resolved.
- While there are 28 ARCs existing in India, due to limited capitalization and low recoveries from existing portfolio, they are better placed for acquiring only smaller value loans.
- In order to resolve the legacy NPAs and clean up the banking system, the Union Budget, 2021-22 announced a mechanism of an Asset Reconstruction Company (ARC) Limited and Asset Management Company (AMC).

- The mechanism would be to consolidate by taking over the existing stressed debt and then manage and dispose off the assets to alternate investment funds and other potential investors for eventual value realization.
- Accordingly, two entities, National Asset Reconstruction Company Limited (NARCL) and India Debt Resolution Company Ltd (IDRCL) have been formed.





## NATIONAL ASSET RECONSTRUCTION COMPANY LIMITED (NARCL)

- It was incorporated on 7<sup>th</sup> July 2021.
- It has received a Certificate of Registration from the RBI to commence the business of an asset reconstruction company in October 2021.
- Canara Bank is the sponsor with shareholding of up to 12%. PSBs will maintain 51% ownership in NARCL.
- It would be capitalized through a combination of equity and debt from various banks and will have a finite life of five years.

*It has been operationalized with the first tranche of Rs.90,000 Cr bad loans acquired by NARCL from the banks.*

- It may acquire stressed assets of about Rs. 2,00,000 crore approximately in multiple phases within the extant regulations of RBI under 15:85 structure. 15% will be paid in cash and 85% in security receipts.





## INDIA DEBT RESOLUTION COMPANY LIMITED (IDRCL)

- IDRCL was incorporated on 30<sup>th</sup> September 2021, and minimum 51% ownership will be with the private sector banks and balance will be held by public sector banks and public Financial Institutions.
  - NARCL and IDRCL's relationship will be defined through a debt management agreement, where in NARCL will aggregate and acquire distressed assets and IDRCL in turn, will provide stressed Asset Management and resolution services to NARCL on an exclusive basis.
  - The term of IDRCL shall be coterminous with that of NARCL.
- NARCL will acquire assets by making an offer in Swiss Challenge Model. process wherein other interested ARCs/bidders will be invited to better the anchor offer made by NARCL.
  - Once NARCL is declared a preferred bidder, NARCL shall initiate asset acquisition process and acquire the assets in the underlying trusts.
  - After acquiring the assets IDRCL shall prepare and such as the proposed restructuring object resolution plan.



## GOVERNMENT BACKSTOP FOR NARCL

- Resolution mechanisms of this nature typically require a backstop from Government as it imparts credibility and provides for contingency buffers.
- Globally bad banks have been set up with Government participation in the form of equity along with other regulatory dispensations. Similar attempts have been made in Malaysia/UK.
- Taking precedents from international practices in India, the Government has provided a guarantee of up to Rs. 30,600 crore, which the government backs security receipts issued by NARCL.
- The Government guarantee will be valid for five years.

## WHY THIS BACKSTOP IS BETTER THAN DIRECT CAPITAL INFUSION?

- There are two advantages in backstop:
  - ✓ It avoids immediate capital outgo from the coffers of the government.
  - ✓ It minimizes moral hazard.





## RECOVERING ECONOMIC VALUE

NARCL / IDRCL mechanism would help recover whatever economic value can be salvaged from these assets that are mostly not contributing anything to the economy right now.



## BOOK VALUE OF PUBLIC SECTOR BANKS GROWS

- Most of these loans are already fully written off.
- Proceeds can be written back as profits and public sector bank's book value grows.
- A higher book value means more room for public sector banks to grow loans in the future.

*The success of this mechanism will also have significant impact on the present Asset Reconstruction Companies (ARCs) in the private sector.*



# HOWEVER, TWO MAJOR CHALLENGES!

## 1 REALISTIC ASSESSMENT

- When the banks transfer bad loans to NARCL, the realistic valuations is the most important factor.
- If the valuations are not proper, then ultimately the mechanism will de-rail.



## 2 CONFLICT OF INTEREST

- In NARCL, Public Sector Banks (PSBs) are the majority owners with 51% stake. At the same time, in the asset management company – India Debt Resolution Company Limited – the PSBs / FIs ownership is 49%.
- There is every possibility of conflict of interest. Hence, the processes must be transparent, and Indian market professionals must be employed to avoid conflict of interest.

***NARCL should not be bundled with the inefficient ex-bankers or retired civil servants and it should bring the high-end talent!***



# THE SITUATION BEFORE THE ADVENT OF INSOLVENCY & BANKRUPTCY CODE

## TWIN BALANCE SHEET PROBLEM OF 2015-16



*Before this Insolvency and Bankruptcy Code, there were twelve overlapping laws including Contracts Act, SARFAESI Act etc.*



## FOUR PILLARS OF INSOLVENCY AND BANKRUPTCY CODE



- 1) The **regulator** – The Insolvency and Bankruptcy Board of India (**IBBI**)
- 2) Adjudicating Authority (**AA**):
  - ✓ National Company Law Tribunal (**NCLT**) – For Corporate, i.e., Companies and Limited Liability Partnerships, whereas National Company Law Appellate Tribunal (**NCLAT**) will act as **Appellate Authority**.
  - ✓ Debt Recovery Tribunal (**DRT**) – For **Individuals** and Unlimited **Partnership Firms**
- 3) A private industry of Insolvency Professionals (**IPs**) with oversight by private Insolvency Professional Agencies (**IPAs**)
- 4) Information Utilities (**IUs**)



## IMPORTANT ASPECTS ABOUT INSOLVENCY AND BANKRUPTCY CODE



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- Regulator is Insolvency and Bankruptcy Board of India (IBBI).
- It shifts the responsibility to the creditor against corporate debtor. Now, the creditor became more empowered.
- It is applicable equally for companies, partnership firms and individuals.
- However, partnership firms and individuals insolvency provisions are yet to be notified. Hence, individual insolvency is still as per Presidency - Towns Insolvency Act, 1909 and Provincial Insolvency Act, 1920.
- It does not take into account cross border insolvency.



## INSOLVENCY AND BANKRUPTCY BOARD OF INDIA



भारतीय दिवाला और शोधन अक्षमता बोर्ड  
Insolvency and Bankruptcy Board of India

- It was setup on 1<sup>st</sup> October, 2016 under the Insolvency and Bankruptcy Code.
- It regulates profession as well as transactions.
- It has regulatory oversight over Insolvency Professionals, IP agencies and Information Utilities.
- Its main purpose is
  - ✓ Maximization for the value of assets
  - ✓ To promote entrepreneurship.
  - ✓ Making available the credit and balance the interests of all the stakeholders.



# ECOSYSTEM UNDER THE INSOLVENCY AND BANKRUPTCY CODE AS PER ECONOMIC SURVEY 2021-22

| Appellate Authority              | Two Benches of National Company Law Appellate Tribunal |         |         |         |         |         |
|----------------------------------|--------------------------------------------------------|---------|---------|---------|---------|---------|
| Adjudicating Authority           | 15 Benches of National Company Law Tribunal            |         |         |         |         |         |
| Regulator                        | Insolvency and Bankruptcy Board of India               |         |         |         |         |         |
| Service Providers                | As on                                                  |         |         |         |         |         |
|                                  | Mar2017                                                | Mar2018 | Mar2019 | Mar2020 | Mar2021 | Sep2021 |
| Information Utilities            | 00                                                     | 01      | 01      | 01      | 01      | 01      |
| Insolvency Professional Agencies | 03                                                     | 03      | 03      | 03      | 03      | 03      |
| Insolvency Professionals         | 977* + 96                                              | 1812    | 2456    | 3004    | 3504    | 3816    |
| Insolvency Professional Entities | 03                                                     | 75      | 48      | 69      | 83      | 86      |
| Registered Valuer Organisations  | NA                                                     | NA      | 11      | 12      | 16      | 16      |
| Registered Valuers               | NA                                                     | NA      | 1186    | 3030    | 3967    | 4366    |
| Registered Valuer Entities       | NA                                                     | NA      | 0       | 20      | 40      | 52      |



## PROCESS OF RESOLUTION UNDER IBC FRAMEWORK



National Company Law Tribunal

INTERIM IP

REGULAR IP

RESOLUTION PLAN

### DEFAULTED COMPANIES

**LANCO**

**ESSAR**  
STEEL

**Bhushan**  
POWER & STEEL

**ALOK**  
INDUSTRIES LIMITED



### COMMITTEE OF CREDITORS



State Bank of India





# KNOW THE DIFFERENCE BETWEEN FINANCIAL CREDITORS AND OPERATIONAL CREDITORS

## FINANCIAL CREDITORS



## RBI POWERS ARE NOT ABSOLUTE!

As per the amendments to Banking Regulation Act, 1949, the Centre has to authorize Reserve Bank of India to issue directions to banks to initiate insolvency resolution process under IBC. Hence RBI's power is not absolute.



## OPERATIONAL CREDITORS



## PRIORITY AS PER INSOLVENCY WATERFALL

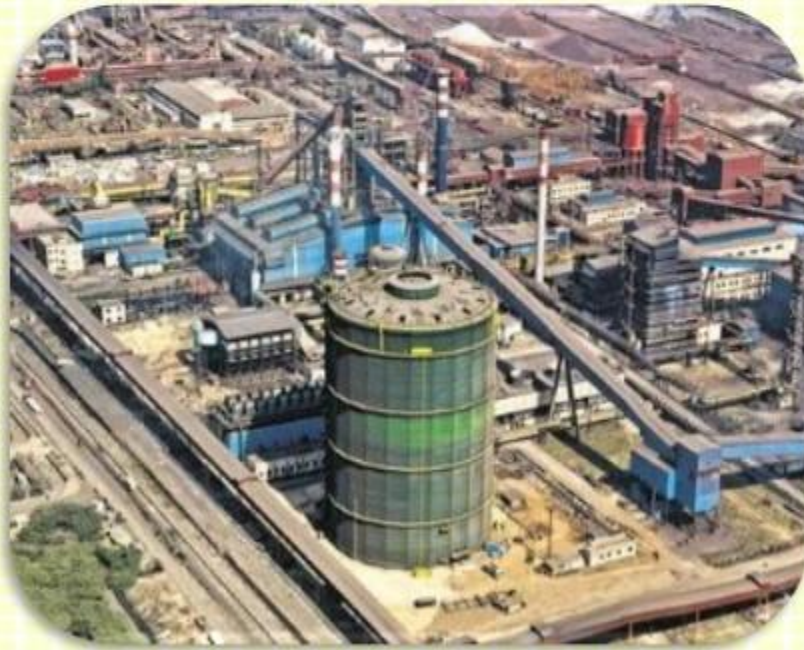


### PRIORITY FOR RECOVERY

- Insolvency related costs
- Secured creditors and workmen dues up to 24 months
- Other employee's salaries / dues up to 12 months
- Financial debts
- Government dues (up to 2 years)
- Any remaining debts and dues
- Equity

***Financial Creditors, Operational Creditors and Debtors – any one of these can initiate insolvency proceedings.***





## COMMITTEE OF CREDITORS (CoC) HAS ENORMOUS POWERS!

- CoC was given enormous powers to take decisions like appointing IP, accepting the resolution plan, withdrawal from the CIRP process etc.
- It is also important to note that the Committee of Creditors constitutes Financial Creditors only. Examples for Financial Creditors are Commercial Banks like SBI, BoB etc.
- The Insolvency and Bankruptcy Code permits the withdrawal of Insolvency and Bankruptcy Resolution process with the consent of 90% of the Committee of Creditors.



# SIX YEARS FOR INSOLVENCY AND BANKRUPTCY CODE BY 2022 ... VARIOUS ASPECTS



INITIAL  
EUPHORIA  
HAS WANED!

- 1 Majority of the cases are going for liquidation instead of resolution.
- 2 The time frame of 330 days is not sacrosanct and it can be extended, when the occasion demands.
- 3 Financial creditors have more powers and the same was ratified by the Supreme Court.
- 4 Insolvency resolution can be initiated by all three categories i.e., Financial Creditors, Operational Creditors and Corporate Debtors.
- 5 When someone is approaching High Court/Supreme Court, that is called litigation and the process through NCLT is adjudication.
- 6 NCLT, which was established under Companies Act, 2013 is the adjudicating body for companies under IBC Framework. NCLAT is the appellate body and one can only approach Supreme Court after that.
- 7 IBC promotes entrepreneurship.
- 8 It also facilitates increase in the velocity of money, as it solves the exit problem for the banks and the companies.



# SIX YEARS FOR INSOLVENCY AND BANKRUPTCY CODE BY 2022 ... VARIOUS ASPECTS



INITIAL  
EUPHORIA  
HAS WANED!

**15** At present, any financial sector entity (excluding banks), as decided by its regulator, can be referred for resolution under IBC.

**14** In CoC, only the Financial Creditors are included, but not the Operational Creditors.

**13** The Government said that it is going to bring a legislation on Cross-Border Insolvency Regime based on UNCITRAL Model of United Nations.

**12** Cross-Border Insolvency is not part of Insolvency and Bankruptcy Code.

**9** The main purpose is to create maximum value for various stakeholders.

**10** NeSL is a Union Government company and is registered with the Insolvency and Bankruptcy Board of India (IBBI) and it is Information Utility (IU).

**11** Personal Insolvency is also part of Insolvency and Bankruptcy Code, but it is yet to be made operational.



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**For Suggestions:**

[suggestions@learningspace.in](mailto:suggestions@learningspace.in)

**To Contact us:**

[info@learningspace.in](mailto:info@learningspace.in)

**For Information:**

[info.learningspacedigital@gmail.com](mailto:info.learningspacedigital@gmail.com)

**Visit us at:**

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